

## Chapter 2

### The Role of Strategic Direction in Organization Design

**Organizational Goal:** desired state of affairs that the organization attempts to reach. In general a goal is the result or end point the organization wishes to reach. The goals are established by the **top management** which role is to adapt those goals to the surrounding environment. This role is also accomplished by middle managers which adapt those goals to more specific areas.



An important part in establishing goals is the **SWOT analysis** (strengths, weaknesses, opportunities and threats). Every factor derives from the analysis of the internal and external environment. Another approach used for establishing goals is the **scenario analysis** in which managers look at the future and at the events that could happen. Taking into consideration fatal events is the key to create a resilient organization. Typically for each factor managers develop from two to five scenarios, going from the most optimistic to the most pessimistic situation.



After analyzing the internal and external environment via the analysis described before the strategic intent of the organization is established. Organization design is the administration and execution of the strategic plan in which managers make decision about R&D, efficiency, type of production technology, human resource policies, culture, and links to other organizations. The choice of a strategy considers the external environment and the results of the choice of a strategy reflects on the internal environment of the organization. A good manager is the one that takes good strategy decision to determine the success of the organization. Here is an example of a strategy for Procter & Gamble.

| OBJECTIVES                                                                                                                                                                                                        | STRATEGIES                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | MEASURES                                                                                                                                                                                                                                                                                                                                  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Improve the lives of families by providing consumer-preferred paper products for kitchen and bathroom<br>Be the operating TSR leader in North American tissue/towel and value creator for P&G                     | <b>WHERE TO PLAY:</b> <ul style="list-style-type: none"><li>Win in North America</li><li>Grow Bounty and Charmin margin of leadership</li><li>Win in supermarket and mass discount channels</li><li>Build performance, sensory and value consumer segments</li></ul>                                                                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"><li>Operating TSR progress</li><li>Share and sales growth progress</li><li>Profit growth progress</li></ul><br>Efficiency measures: <ul style="list-style-type: none"><li>Capital efficiency</li><li>Inventory turns</li></ul>                                                                          |
| <b>GOALS</b><br>Year-on-Year operating TSR> XX%<br>X% annual share and sales growth<br>X% annual gross & operating profit margin improvement<br>X% return on capital investments in plant equipment and inventory | <b>HOW TO WIN:</b> <ol style="list-style-type: none"><li>Be lean<ul style="list-style-type: none"><li>Get plant/equipment capital spend to XX of sales</li><li>Reduce inventory by XX%</li></ul></li><li>Be the choice of consumers<ul style="list-style-type: none"><li>Superior base products, prices right</li><li>Preferred product formats and designs</li><li>Manage category growth</li></ul></li><li>Be the choice of retailers<ul style="list-style-type: none"><li>Improve shelf availability and service</li><li>Develop differentiated shopping solutions</li><li>Win with the winners</li></ul></li></ol> | <br>Consumer preference measures: <ul style="list-style-type: none"><li>Weighted purchase intent</li><li>Trial, purchase, and loyalty</li></ul><br>Retailer feedback measures: <ul style="list-style-type: none"><li>Key business drivers (distribution, share of shelf, share of merchandising, etc.)</li><li>Preferred vendor</li></ul> |

## Organizational Purpose

The first goal we'll take into consideration is the **strategic intent**. This is identified as the point where all the organization's energies are directed. We can say that this is the overall goal. The overall goal of the organization is called **mission** and often represents the organization's shared values and beliefs. This is often called **overall goal** because it represents what the organization is trying to achieve. The mission is used as a communication tool indicating the internal members and external stakeholders the objectives of the organization. The legitimacy and coherence of the activities done by the organization with its mission is crucial for gaining the trust of external stakeholders.



The aim of the strategic intent is the **competitive advantage** which refers to the aspects that sets the organization in a better position compared to its competitors. We can clearly see that this aspect varies over time as the environment surrounding the organization changes. The role of the manager is identifying the parts of the market an organization can fill. Related to competitive advantage, we can speak about **core competence**, which is something that an organization does better than its competitors. This can refer to R&D, technological know-how, process efficiency and customer service.



To realize the operating goal an organization needs to set **operating goals** which are related to the measurable outcomes and are often short-term goals because they refer to the primary tasks performed by an organization daily. Those goals are identified by:

- **Overall performance:** Profitability for for-profit organization expressed by net income, earnings per share or ROI, growth, and output volume. Growth refers to the increases in sales or profits over time while volume refers to the numbers of products. For nonprofit organization the overall performance is often measured with the serviced offered within a given budget.
- **Resources:** These goals refer to the ability of acquiring materials and financial resources from the external environment.
- **Market:** Market goals are related to the ability of an organization to gain larger shares of the market.
- **Employee development:** Includes the abilities of training, promotion, safety and growth of the employees. This often reflect on the appreciation expressed by the employees on the company itself.
- **Productivity:** These goals are aimed to maximize the outputs of the production given a specific number of resources.
- **Innovation and change:** these goals are aimed for the organization to adapt to the changing external environment and to the internal flexibility.

We can already see from those definitions that some types of goals tend to be conflicting with each other. To behave in the best way, an organization has to balance the ratio between those goals correctly. Operating goals can be used as a motivation for the employees, especially if those goals are high because in this case the workers are more committed to those goals. We can also say that operating goals act as guidelines for employees in taking their decisions. These also establish a standard of performance.

## Two Frameworks for Selecting Strategy and Design

In general, strategy is the plan with which the organization interacts with the competitive environment in order to reach its goals. The strategy is fundamental for an organization because it determines its efficiency.

### Porter's Competitive Strategies

The Porter's model divides organizations into two types depending on their approach to the competitive environment

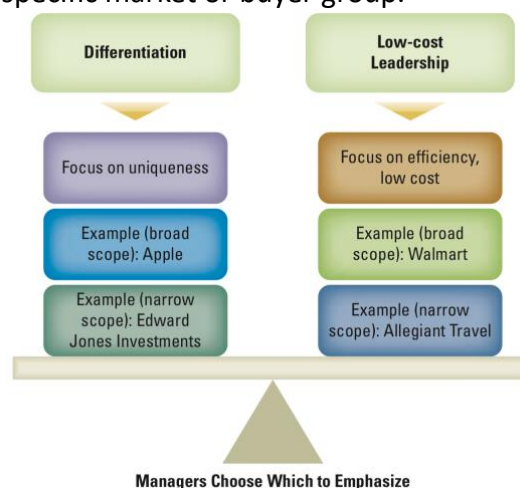
#### Differentiation Strategy

The organizations based on this model attempt to distinguish their products from the others in the market typically including innovative features making the customers feel the product as an unique one. This technique reduces the risk of substitutive products because of the unique features. A typical example of an organization using a differentiation strategy is Apple. This technique implies lots of expenses in R&D.

#### Low-Cost Leadership

This strategy consists in competing with the external environment by proposing low prices compared to competitors. An example of this is Ryanair.

Both strategies can focus on a broad or narrow competitive scope. In the former case the organization focuses on different markets and customer segments while in the latter case the organization focuses on a specific market or buyer group.



### Miles and Snow's Strategies

The Miles and Snow's model identifies four types of strategies an organization can adopt.

#### Prospector

This strategy is based primarily in taking risks, innovating, seeking out new opportunities and growing. This strategy is suitable for dynamic competitive environments where creativity is important. Some examples of companies using this type of strategy are Nike, Uber and Facebook.

#### Defender

This strategy is the opposite of the prospector because it focuses on stability and step backs if necessary. This reflects in internal organization and in the customer base which is quite always the same. An example of this is Paramount Pictures.

### Analyzer

This strategy consists, for an organization, in maintaining a stable central business while innovating in periphery. This reflects in the products proposed by the company, some of them being the same as always and some of them being innovative. An example of this is Amazon which stable business is the online shopping and the new products are for example Amazon Go.

### Reactor

This is not properly a strategy but in fact organizations using the reactor model responds only to threats and opportunities rather than having precise plans. An example of this is Blockbusters.

### Effects in the Organization Design

Low-cost strategy typically implies a pretty vertical organization with a central control and standard procedures focusing on the procurement and distribution channels. The differentiation strategy on the other hand focuses on a more learning approach implying teamwork and horizontal coordination to improve employees creativity rather than tight vertical control that happens on the low-cost strategy. The approach used by the prospector strategy is similar to what we've seen on the differentiation one whereas the approach used by the defender strategy is similar to what we've seen in the low-cost approach. The analyzer strategy is something in the middle.

The internal structure of an organization is also influenced by the external environment. If the external competitive environment is stable then the structure can be the "traditional" one using a vertical division whilst in dynamic environments we often see horizontal-centered structures. The internal structure depends also on the dimension of the organization. In small organizations we often see informal structures and little division of labor. The opposite happens with big organizations having their own structures, procedures and strict division of labor. The internal structure depends also on the production type. With mass production organizations we often see vertical structures while in e-businesses a more dynamic approach is typical. Finally, the culture of the organization determines largely its internal structure.

### An Integrated Effectiveness Model

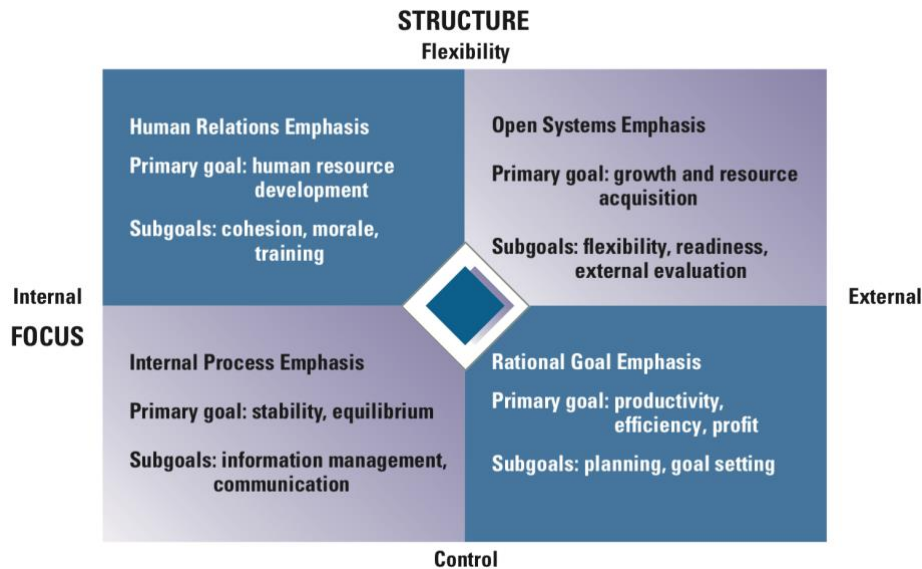
The **competing values model** tries to balance different parts of an organization providing indicators of effectiveness of the various activities the organization does. We have some well defined indicators:

- **Focus:** can be internal or external and it indicates the performance of internal management and the wellbeing of the relations of the organization with the external environment.
- **Structure:** measures the effectiveness of the vertical or horizontal structure adopted by the organization.

These indicators can be adopted differently forming different types of organizations:

- **Open systems emphasis:** is the combination of external focus and flexible structure. The main goals in this case are growth and resource acquisition. Subgoals in this case are flexibility, readiness, positive external evaluation.
- **Ration goal emphasis:** represents the values of structural control and external focus. The primary goals in this case are productivity, efficiency and profit. Subgoals in this case are internal planning and goal setting.

- **Internal process emphasis:** in this case the values embraced are internal focus and structural control. This produces stable organizations with subgoals of mechanisms for efficient communication, information management and decision making.
- **Human relations emphasis:** the values embraced are internal focus and flexible structure focusing on human resources with the subgoals of cohesion, morale and training opportunities.



This model integrates different concepts of effectiveness (output goals, resource acquisition and human resource development) into a single perspective and show how these values are constructed by the management and how these are often conflicting and their priority can change over time.